

Chaojun Wang

390 Serra Mall, Stanford, CA 94305-4065
Phone: (650) 338-8241

Email: chaojunw@stanford.edu
Web: stanford.edu/~chaojunw/

RESEARCH INTERESTS

Over-the-counter markets, financial networks, market structure and design, game theory

EDUCATION

Expected 06/2017	Stanford University, Ph.D. in Statistics, Ph.D. Minor in Economics
2012	École Polytechnique (France), Diplôme de l'École Polytechnique
2008	Lycée Faidherbe (France), Classe Préparatoire (Mathematics, Physics and CS)

DISSERTATION COMMITTEE

Darrell Duffie (advisor)
Stanford Graduate School of Business
(650) 723-1976
duffie@stanford.edu

Matthew Jackson (co-advisor)
Department of Economics, Stanford University
(650) 723-3544
jacksonm@stanford.edu

Arvind Krishnamurthy
Stanford Graduate School of Business
(650) 723-1985
akris@stanford.edu

PRESENTATIONS

2016 Conferences: NYU Stern Microstructure Conference, Dauphine Market Microstructure, European Finance Association Doctoral Tutorial, European Society European Meeting
Seminar: Stanford Graduate School of Business, Indiana University
2015 World Congress of the Econometric Society, Econometric Society Winter Meeting
2014 Issac Newton Institute workshop -- Systemic Risk: Models and Mechanisms (poster session)

AWARDS

2016 Finalist for the Outstanding Overseas Chinese Student Scholarship (decision due 02/2017)
2015 Teaching Assistant Award for the Department of Statistics at Stanford University
2010 Silver Medal in the International Mathematics Competition for University Students
2009 Silver Medal in the International Mathematics Competition for University Students
2007 Selected for the national French team for the International Physics Olympiads

TEACHING

Instructor for Engr 60: Engineering Economics (Stanford University)
Session leader for Stats 60: Introduction to Statistical Methods (Stanford University)
Oral examiner in mathematics in the preparatory program at Lycée Michelet (Paris, France)

OTHER SKILLS

Software: R, Matlab, Java, C#, Fortran
Languages: Chinese Mandarin (native), English (fluent), French (fluent)

WORKING PAPERS

Core-Periphery Trading Networks (*Job Market Paper*), 2016

Core-periphery trading networks arise endogenously in over-the-counter markets as an equilibrium balance between trade competition and inventory efficiency. A small number of firms emerge as core dealers to intermediate trades among a large number of peripheral firms. The equilibrium number of dealers depends on two countervailing forces: (i) competition among dealers in their pricing of immediacy to peripheral firms, and (ii) the benefits of concentrated intermediation for lowering dealer inventory risk through dealers' ability to quickly net purchases against sales. For an asset with a lower frequency of trade demand, intermediation is concentrated among fewer dealers, and interdealer trades account for a greater fraction of total volume. These two predictions are strongly supported by evidence from the Bund and U.S. corporate bond markets. From a welfare viewpoint, I show that there are too few dealers for assets with high frequency of trade demand, and too many for assets with infrequent trade demand.

Efficient Contracting in Network Financial Markets (*with Darrell Duffie*), 2016

We model bargaining in over-the-counter network markets over the terms and prices of contracts. Of concern is whether bilateral non-cooperative bargaining is sufficient to achieve efficiency in this multilateral setting. For example, will market participants assign insolvency-based seniority in a socially efficient manner, or should bankruptcy laws override contractual terms with an automatic stay? We provide conditions under which bilateral bargaining over contingent contracts is efficient for a network of market participants. Examples include seniority assignment, close-out netting and collateral rights, secured debt liens, and leverage-based covenants. Given the ability to use covenants and other contingent contract terms, central market participants efficiently internalize the costs and benefits of their counterparties through the pricing of contracts. We provide counterexamples to efficiency for less contingent forms of bargaining coordination.

Name Give-Up in OTC Markets (*with Tomy Lee*)

Pre-trade name give-up in over-the-counter markets allow dealers to condition their quotes on the reputations of traders, while post-trade name give-up improves the informativeness of those reputations. We develop a model to examine the effects of this combination of pre- and post-trade name give-up on welfare and market quality, and provide policy implications for the ongoing controversy around post-trade name give-up in swaps markets. We show that the increase in the informativeness of reputation from post-trade name give-up leads to lower expected bid-ask spreads, greater volume and welfare in markets with significant adverse selection. In markets with little adverse selection, however, post-trade name give-up may widen bid-ask spreads and harm welfare.

RESEARCH IN PROGRESS

Inefficient Monitoring by Financial Intermediaries (*with Triwit Ariyathugun*)

Dealer Inventory and Liquidity in Corporate Bond Markets (*with Nathan Foley-Fisher & Stefan Gissler*)

How Decentralized is the German Bund OTC Market? (*with Calebe de Roure*)

INDUSTRY EXPERIENCE

- 2011 Internship at BNP Paribas, London
- 2010 Internship at Société Générale, Paris

December 12th, 2016